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MANAGEMENT DISCUSSION SECTION

Kenneth B. Worthington
Analyst, JPMorgan Securities LLC

Okay. Hi. My name is Ken Worthington. I'm here to introduce the management team of ICE. I'd like to present, Scott Hill, ICE's CFO. Scott joined ICE 10 years ago from IBM. He's now a member of one of the best management teams, if not the best management team of any company that I have ever covered. So I'm very pleased to have him today with us.

And, with that, I'll turn over to Scott.

Scott Anthony Hill
Chief Financial Officer, Intercontinental Exchange, Inc.

Thank you, Ken. Thanks for those kind words and thanks for inviting us again this year. This is a good conference and we always enjoy being here. So what I want to do today is maybe start with just a 10-minute or 15-minute overview and then I'll join Ken at the table and let him and you ask questions. Kind of feel like I'm talking to this part of the room, so I'll try and focus over here as well a little bit.

As I get started though, I'll point you to our Safe Harbor statement on page 2. I am in the presentation only and it cover the first few pages, but you – it's got a lot of good information in there, feel free to flip through and if there are questions on it and the others, let me know.

I'm going to start on slide 3, and provide an overview of kind of who we are and what we do. We are a provider of comprehensive risk management solutions to a global set of customers across a wide range of asset classes that includes commodities, fixed incomes, equities, and a number of other products. Yeah, we're known historically as an exchange because that's where we started, but the reality is, again, that we provide risk management solutions, and that includes data, it includes trading, it includes clearing and a number of other services and they really work well together.

As you can see on the slide, it starts with the data. We are the provider – the largest provider of proprietary data in the world, the third largest seller of data, but the number one in terms of selling proprietary data. That proprietary data is mission critical to a number of commercial firms across many industries in the world. That data informs customers in the industries in which they participate with regards to the risks they face and they use that information to inform their trading strategies, which allow them to mitigate those risks across our 12 exchanges that we operate and across a benchmark set of products that include things like Brent Oil, which is the global oil benchmark, the world sugar contract, European and British benchmark interest rates, so a number of benchmark

products that allow our customers to manage their risk. And then to further enable the risk mitigation of their trading strategies, we provide clearing services across six clearing houses, all built on a common technology, all available to serve customers locally in numerous geographic locations around the world.

And then, again, as customers work through the trading and their risk management strategy, that creates further data, which again cycles back through as information to facilitate it. So it really is a virtuous cycle that begins with data and then cycles all through the trading and clearing activities as well.

That business model has yielded very strong financial results. As you can see on slide 4, our revenues have consistently grown and are growing again this year on a year-to-date basis. We're up 5% over the prior year. And then, more importantly, on the right of this slide, you can see that our adjusted earnings, not only have they grown on average 19% every year since we went public, but the thing I love about this chart is every bar on the right is bigger than the bar on the left. So it's growth on average and it's growth every single year and, again, it's growth year-to-date as well. Our earnings are up 7% year-over-year on a year-to-date basis in 2017.

We've got a good mix of revenues with a little more than half of our business in our recurring revenues that includes data, which is probably 45%-ish of our revenues and then also listings, and those tend to be more subscription-like businesses. We have very good visibility to them over the coming 12 months with regards to who our customers are that are listed, who is subscribed to our data products and so they're relatively predictable.

The other half of our business is the volume side, the trading and clearing side. That tends to trend more with volatility and so it's a little less predictable in terms of our overall revenue performance, but again one trend there that you need to watch carefully is open interest, because that really indicates the overall interest in our markets, and our open interest levels have been trending up over the last few years and we're at record levels in a number of our major asset classes.

The important thing is while the revenues are a good mix, they're built on a relatively fixed expense base that has seen very little growth over the past few years and, in fact, has come down through our synergy generation and that yields industry-leading margins. And regardless of whether you look at our total company where our margins are at 58% versus our peer group at 41% or in our two segments where you look at trading and clearing margins at 63% and data and listings at 54%, our model generates very strong operating margins to go along with that balanced set of revenues that I showed you on the prior slide.

And so when you got a balanced set of revenues with a significant portion that are recurring over a relatively fixed expense base that generates really strong margins, what that tends to do is generate a lot of cash and we certainly do that, and we believe that we're a very disciplined allocator of our cash. We believe that it's important that we continue to first invest in our business and that could be investments organically and creating new products, it may be investments in M&A, which you've seen us do in the decade that I've been in this job. We've done over 20 deals where people tend to think about the NYSE deal and the IDC deal, but if you take those two deals out we've done another 20-plus deals at about \$4 billion, so a number of smaller what I'll call bolt-on strategic adds that have either expanded us into a new geography, added a new product that we can put on our network of either our trading network or our data network or something that's expanded our technology, and so we have put money towards investments.

We have a very disciplined process through which we do that. We don't do deals that won't generate returns of at least 10%. That's the hurdle rate that we follow. Our deals will generate any synergies that we're going to generate from them in the first three years, 90% of those in the first three years. And of course, it all leads with it has to fit into our strategy, it has to some way strengthen or enable our overall business strategy. For the cash

that isn't used to invest in our business organically or to do M&A, we then return capital through two means – dividends and share repurchases.

As you can see on the slide, page 7, the primary means of returning cash has been through share repurchases. And the reason for that is for whatever set of reasons, one of the ironies of being a part of ICE for the last 10 years is for whatever reason our stock price tends to chase value. In the early days, we were subject to the risk of oil is going to \$180 or it's going to \$30 and what's that going to mean or there were going to be a lot of hurricanes or not many hurricanes. It changed through, goodness, if there is a lot of regulatory change going on, what's Dodd-Frank going to do, what's MiFID going to do. So for whatever reason, our stock has been subject to a bit of headline risk.

But for those people who have remained committed to investment in the company and for us as repurchasers of the shares, we've done very well and you can see that on the lower right part of this slide. Every time we bought a share back, on average a year later, that share has been worth 22% more and two years later that share has been worth 50% more, and that's on every single purchase we've ever done.

And so it's been an efficient means of returning our capital. We've done it quite significantly. You can see this year, we've already spent \$792 million on buyback, which is more than any year that we've done previously and obviously we continued buying in October. The other thing is we did institute a dividend after we did the NYSE deal in 2013. And we said we would grow that dividend as we would grow. We've grown that dividend 15% every year since we implemented it. So again, the model is a balance of really strong revenues with half of it recurring. It's got tremendous margins that generates strong cash and we've been a very good allocator of that cash.

So hopefully, that gave you a little bit of an overview of who we are and what we do, and I'll join Ken at the table and be happy to take your questions or his – and/or his.

QUESTION AND ANSWER SECTION

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

Hi. Thank you, Scott. So I'm going to ask a series of questions for probably 10 minutes or 15 minutes or so, and then I'm going to open it up to you guys to the extent that you'd like to ask questions as well. And I'm going to start with kind of what I see as overview questions that are important to me, which hopefully are of interest to you. When we see ICE and the success they've had, I attribute it two things. One is innovation and execution. So if I first start on the innovation side, I think ICE is sort of well recognized as an innovator in the exchange space. Maybe, Scott, can you give us a couple of examples of where you have kind of innovated in your business going kind of above and beyond what the consensus would expect of you?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah, thanks for that, Ken. And really innovation is at the heart of what we do and it really starts with our CEO, Jeff Sprecher. He founded the company back in 1997. He was an engineer by trade, a power plant developer at that time and he – really his fundamental belief is that we as a company are in business to solve our customers' problems and that requires innovation because if it was easy, the customer wouldn't have the problem. An early innovation of his was around seeing the value of clearing and particularly clearing and difficult to clear markets like the U.S. power market.

You all may recall Enron, when it blew up, it was everybody to one market. There was very little confidence that anybody had post that Enron explosion with regards to who their counterparties were. Jeff understood how those markets worked and worked to develop a clearing solution, so that those counterparties didn't have to deal with each other's balance sheet risk as clearinghouses able to step in and mitigate that risk. And that really allowed power trading to return to the level it had prior to the Enron collapse and it was a better market because it was more transparent and it was all to all as opposed to all to one.

Another innovation in the market more recently was you guys will remember the financial crisis of 2008. A lot of people were worried about a thing nobody heard of called CDS. And the biggest scary part about CDS was that actually nobody knew who the exposures were with. Nobody knew how big their exposure was to which counterparty.

And so we looked at that as a problem that clearing again could solve because clearing fundamentally matches positions, it nets positions down, so if there are many of us that have positions that are offsetting among multiple counterparties, those positions could be netted down. So we stepped in and offered a clearing solution for CDS. Today, we have well over 90% of all the cleared CDS flows through either ICE Clear Credit or ICE Clear Europe, which are two CDS clearing houses. And again, it made the markets better and it allowed people to continue to use a risk management tool because it introduced the transparency and the collateralization of the risks that were necessary to bring confidence back into those markets. So those are a couple of examples of what we do, which is we look for problems that our customers have and we innovate come up with innovative ways to solve them.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

So, ICE is an exchange, but ICE has transitioned to more of a data company. So, can you talk more about – you had a slide in the beginning, but talk a little bit about why you move so heavily into data, how data and trading kind intersect and interact with each other. And ultimately, I'd love to tie this back to growth, so does having a bigger data business allow the trading to either be more valuable or grow more quickly and does the trading allow the data to be either more valuable or grow more quickly? So how do they intersect?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah, it's a good question. So let me start with – we were an exchange in the sense that we operated exchanges and clearing houses, but we've always been in the data business. So when I started back in 2007, data was give or take a little bit 12% to 14% of our revenue. To your point though, Ken, to a large extent, that data was – we ineloquently referred to it as the exhaust off the trading. It was information that came from people who are participating in risk management.

It became more and more apparent to us as we move through the years that there was value in the data as information coming off the trading, but that that information also could be used to inform the trading strategies themselves, and so to some extent reinforce that activity – that trading activity because if you understand the risks your company faces better and you have better information in terms of how to mitigate those risks, you can have a more refined set of trading strategies that will allow you to come in and trade and mitigate those risks.

The move deeper into the data business has again really been around where are the market. Where is the lack of transparency? And where do we believe that data can help improve that place? The position or the acquisition of IDC is a really great example. There's not really a place where – you want to know what the price of ICE stock is today, you can go look at the New York Stock Exchange at any moment today and you'll know what the price of stock is. You want to know what the price of Brent Oil is, you can log on to our website at any point in time today and you'll know it. If you want to know what the price of an ICE bond is, that's going to be really hard to find out. And what IDC does is, is it will tell you each day what the price of that ICE bond is, regardless of whether it traded.

And so it is a form of price discovery just like the original data that generated off our trading is price discovery. But you know it's interesting in today information we – again, going back to innovation. One of the innovations at IDC is they've developed a thing called continuous evaluative pricing. And so now we can take this data, which is the information that is discovered at the end of the day based on an algorithm of looking at a number of factors that says an ICE bond should trade at this price and this continuous evaluative price will give you a real-time information on the price.

So during the day, I can see what the price of that ICE bond should be and so as we work to develop our bond trading platform with our Creditex business, what we've done is we started that business by running auctions. We're okay on a – at a given time, on a given day, you can show up and you can trade bonds in this and this. And participants would come and they would have their interest to buy or sell and they would put it into the auction, and we would see if there were matches, and if there were we would facilitate a trade.

But with the CEP, we can now put a price out into the world that says on this date, at this time, this should be the price of the ICE bond, do you want to buy or sell at that? And so now the market has information it didn't have before, and that facilitates more trading because now as opposed to you coming informed with your view of truth on ICE bonds and me coming informed with maybe completely different information we have a product that's been back tested that demonstrated it's accurate in terms of when an ICE bond did trade, did it price at what this

product would have said and the answer was yes, so you now have information that will encourage you to do more trading with more confidence because of that data.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

ICE has made a lot of acquisitions. You mentioned that you've made 20-plus acquisitions over the last few years. If we think about the acquisitions in data, can you talk a little bit about what you bought and how those different acquisitions fit in with each other? So the way I'm sort of visioning this is, you've got a puzzle, you're trying to complete the puzzle, in each of your deals kind of is a different piece fitting in differently with the others, but creating an overall picture. So a couple of examples of maybe how the different pieces fits together to be more valuable than the individual parts?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

It's a great question, and I think it will be instructive in terms of how we think about M&A. I promise I'll answer the question, but I take a step back. What are the things that we like to talk about in terms of our business is the importance of the network that we've established. And so early days, we established a very strong network in terms of trading and clearing and then subsequent between 2007 and 2013, we did a number of organic investments and acquisitions that really drove more content through that existing network.

And so we started as an energy exchange and then it was energy and ags, and then it was energy and ags and financials and so the network – the exchange network itself started when ICE offered U.S. natural gas an hour trading but then into that network through acquisition, in some case, we were able to add content, so bought the IPE in 2001. That brought oil in. We brought the New York Board of Trade in 2007. That brought ags and financials and also brought us clearing, which was important.

In 2009, I want to say, we bought a company for emissions, and so the network was really established early days and then the focus was on how do we drive more content through that network. And as I mentioned, we've had data all along but the network was the trading network.

The IDC network, to a large extent – or the IDC acquisition, to a large extent, really helped establish a data network and that data network is effectively the sales force who exist in IDC to sell the bond prices that IDC sells. And so it's a very strong network that's got connections into customers at commercial firms, at financial institutions, both on the buy and the sell-side. So the IDC acquisition helped us establish a very strong network around, in their case, their fixed income products.

And now, our focus is to build on that network and drive more content through that network as well. And so obviously we have some content that we already had that go through that network. Our exchange data, a lot of the data that existed at the New York Stock Exchange, the ETF business things like that. But more importantly, in terms of the fixed income world, we went out and did another acquisition of a securities evaluation business from S&P, which strengthened our position in munis. And so that muni bond pricing all of a sudden gives us more to sell through that data network that we have. We bought a business at the same time called CMA, which allows us to sell CDS prices through that network.

We subsequently announced that – recently announced that we did a deal to buy the Bank of America Merrill Lynch indices. Again, that's important because it gives us index products that we're able to sell. But more importantly, it allows us to sell the reference data and the pricing data that supports that index. And so the acquisition strategy is about establishing the network and then selling content through that network. And in many

cases, our belief is that content on a standalone basis we can do more as the owner with that content by putting it on our broad network than the owner could on its own. And that's why when we bought IDC, a lot of people looked at it and said, well, gosh, you just bought a 2% to 3% data growth business, how in the world are you going to grow faster than 2% to 3% and we said, don't worry, we'll be able to grow at least twice that with mid to high-single digits with more than twice that rate. Last year, 7%. This year, on track for 6%. And ASV, which is our kind of next 12-month set of binoculars is over 6% organically as well.

And so we've been able to grow it faster because we've got a broader network. And so we're not just selling fixed income, we're not just selling exchange data, we're not just selling credit prices, we're able to sell all of that. And know by the way, if you want that information and these other exchanges, I'll sell you that too. And so we can become kind of that one-stop data provider and again telling and this is really important a lot of proprietary content. That's where we distinguish ourselves from a lot of the other data competitors is they're largely data distributors. We're data distributors as well, but that's a smaller part of what we do. We're selling our proprietary data as the primary part of what we do.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

So moving on to some of the themes when we think about growth. One of the themes that we see is content versus distribution. Maybe talk about where the value has been in terms of data content versus data distribution and how the future looks for where value is really derived?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah, I think that's a perfect question coming off the last thing I said, which is our view is that the content distribution is important. There's no question. One of the things that I keep taking a step back because I think the history of the company is so instructive to where we're going. One of the things that made ICE really sticky as a platform is we uniquely had our own desktop. We had a thing called WebICE that sat on the energy traders' desk. Most other trading companies went through third-party APIs, company like Trading Technologies and others if you heard of them. But they didn't have that presence on the trading desk where there was a reason for the trader to say, yeah, the sales would come on in because I noticed there's a new product on my screen. I noticed there's a new color that's flashing. Tell me a little bit about what that is. And so I think that, the – I completely lost my train of thought. So what's your question again, prompt me.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

Just on content...

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

The content, yeah, and so the distribution mattered. It mattered that we were on the desktop. But then, ultimately, the reason we grew was because of the content we were able to put through that screen, right. And so, I think it's similar now. I think we're good partners with a company like FactSet, for example. It's a very good company. They have a very good desktop, very good analytics and that's important, and some customers want that. But more and more what we're seeing customers want is the content not necessarily the desktop presence, right. There is a big shift from active to passive management and the passive management doesn't need to stare at a desktop, they need the data content.

And so whether it's the move to ETF, the move to more indexes, the move the self-indexing where people are saying, look, I may not want to pay for the index that has the big brand name, I want to track against something that's similar, can you help me construct it myself? We're seeing a lot of that and that's what I think validates what we believe when we did the IDC deal, which is that ultimately it's the content that matters most. That isn't to say that distribution doesn't matter, it does. It's not to say that a really good desktop is not important, it is. We're very happy to have our data distributed through those desktops and those re-distributors. But at the end of the day, the reason each of those bars on the profit chart on the right was bigger than the bar on the left is because we're mission-critical data people have to have regardless of what the economic situation is. We're information that they must have in order to do their risk management work. And so in our view, it absolutely matters what the content is much more than what the distribution is.

So you want distribution through a third-party desktop, cool. You want a distribution through a desktop, we sell you, that's all right. You want to hook directly into our safety network and have it piped right into a system you built, fantastic. We're happy to do all of those because we're willing to distribute our data into whatever allows you to consume it the fastest. And one of the leading things that – or one of the things I'm excited about as we're moving through this year, the fastest growing part of our business is probably the most boring which is the connectivity piece, and it's growing fast because we're seeing customers move from smaller ports to bigger ports.

And just like for those of you who buy a phone, I guarantee you the phone you have today has more data capacity on it than the phone you bought before, which had more data capacity than the one you bought before. And all of that is because you know, as a consumer, you're going to consume more information through that phone. And so you buy up on data, connectivity. And so we're seeing the same thing on our safety network and I think that's a leading indicator that's distribution, but the distribution is getting broader because the content is about to flow through.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

Great. So, I'm going to turn over to the audience. We'll see how inquisitive you really are. If you have questions, just raise your hand. We have a mic that will go through.

Q

Yeah. The UK is moving to ban soft dollar sales for research and I wonder if this has any direct implications to your volume or any indirect implications to your volume.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

I don't believe it should have any implications at all for us. I'm not overly familiar with the topic, but I don't believe it should have any implication.

Q

They're essentially saying you can't use soft dollars to purchase, research any order. So the expectation is their revenue going to brokerage firms for their research product will substantially be reduced, so trading in general may be reduced because of that.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

[Technical Difficulty] (27:07-27:35). I'm sorry. Thank you. I forgot the red button. Generally speaking, I don't think the soft dollar thing will impact us in any materially negative way.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Q

Up in the front.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

You want to ask and I'll repeat it? There he is.

Q

Thank you. To the gentleman's question up there, I would actually think this movement, the hard dollars both in Europe and voluntarily here in the States would help like an IDC or a Gartner which already operates pretty much on hard dollar basis.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah.

Q

So your share of the pie I would think would go up, is that...

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah. Again, that's not a flawed logic. It's not something that is I kind of look out in the next 12, 24, 36 months. It's been a big driver up or down in the conversations we're having.

Q

Right. And the second question I had is on the treasury report that came out a few weeks ago. I know both you and Jeff support the report, but all you hear about on the sell side and even from buy-siders as well is the whole SIP thing and there might new – the amount of revenues you might lose related to that. Are there any offsets that we're overlooking that actually might temper that effect or even overcome that effect?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Well, I think the reason we support the report is we believe that embedded in there are a number of ways that will make the cash equities markets better in terms of trading. Right now, a big issue is the fragmentation in the market.

We think there are recommendations in there that could help with it, not going to solve it, can help with it. And so overall the mitigate from our standpoint is, as if you look at the report comprehensively, we think implementation of all the recommendations in the report on balance will be better for trading. And anything historically that's been better for trading overall has been good for us because that's what we do, we facilitate trading. And so to your point, I mean I'll give you the perfect example. You mentioned the SIP. Really, if you read the report, the report seems to focus more on the right pricing around the proprietary data and in fact says that the SIP should be allowed to demonstrate best execution.

And so that will push more people to the SIP. And so one of the comments we made on the call is it's possible that if you see some neutral to downward pressure on the proprietary side that's because more people are using the SIP for their trading. And to the extent that happens as long as we're holding or gaining share, we'll earn more SIP revenues. So I think there are a number of puts and takes in the report overall. The reason we support it is we think it makes markets better and if markets are better, we benefit in trading and ultimately the data will follow.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Up front.

Q

Q

How do you intend and how quickly will you be integrating S&P and IDC, because they were two big players in the muni space and now there is less competition in this area? Are you planning on – when will you be fully integrated? Are you going to kind of keep that J.J. Kenny brand separate?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah. They will be fully integrated and we're give or take a little bit midway through that process now. We've already started to collapse the pricing into a single price under one of the orders IDC operates under we're not able to sell, it makes sense. You're not able to sell customers the two different prices on the same security and so from the very beginning it was our intent to take best practices from both, merge them and then provide a single price to customers.

And then you may have noted, on our earnings call, we talked a little bit about as you might expect in a world where customers tend to have a primary and a backup, there's been a little bit of erosion from that integration because we can't be both the primary and the backup. But overall, that integration has gone well. And again, we're probably midway through it and we'll work our way through it through the end of the year and early next year.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

[ph] Josh (32:16)?

Q

Q

Yeah. During your quarterly report, you had a slide in there which showed pretty awesome growth across many products in terms of volumes, so rates went up a lot. You saw Brent trading went up a lot, energy. But your trading revenues themselves are probably up half that amount, meaning volume is up 15%, trading revenue is up 7%. You may be talking about some of the trends we've seen in the last couple of years in terms of your RPC and how you address that as kind of a management team.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah. So it's a good question. So there are a number of factors that play into the aggregate revenue growth that you see versus volume. And I'll kind of break them down into parts and pieces, because I think it's the easiest way. If you look at interest rates as an example, interest rates particularly in the third quarter had a decent amount of volatility and still there was some impact from a year-over-year standpoint with currency because you hadn't quite seen the full impact of the pound devaluation from the prior year that you have this year. And so those products or – our interest rate products are denominated in euro and pound and so to the extent that those currencies are lower on a year-over-year basis, it translates into less revenue and in particularly volatile times, you tend to see more of the market-making liquidity providers, which tend to get our market-making programs which are lower RPC. And so historically, if you look – you've had an impact during volatile times of the mix do a little bit more market makers, not unique to us, but mix down. So those are the two biggest impacts from an interest rate standpoint.

From an energy standpoint, it tends to be a little bit more mix within the products themselves. And so to the extent we have a decent natural gas quarter that hurts RPC overall because that's a lower priced product, to the extent we have a really good quarter in emissions that helps because it's a higher-priced product. Interestingly, our European natural gas pricing is higher than our U.S. natural gas pricing. So you can have a good mix of volumes and still see rates go down a little bit if you see in more in the U.S. than the UK.

So it also [indiscernible] (34:34) periods tends to have a little bit of that market-maker effect, but it's more related to product mix from an energy standpoint. You asked a question, how do we think about it in terms of managing. What we manage is revenue and market participation. So we try and work to ensure that the programs bring sufficient interest from liquidity providers that facilitate the market because they do, the liquidity providers, the market makers, the algorithmic traders, however you want to refer to them, they do provide necessary liquidity, but you don't want them to overrun the market.

And so you got to look to balance the incentive programs to ensure you got sufficient liquidity, but not so much that it overwhelms the commercial participation. But we manage the revenue because we know if we manage the revenue and we grow revenue, it's going to mean we grow profit.

Q

When you looked at your operating margins, you, across the board, are leading in the against your peers. Have you kind of poked underneath that to kind of deconstruct what's driving that for you and if it's sustainable?

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

A

Yeah, so we clearly – I mean, that – you can see in the footnote who's aggregated in those totals, but we clearly do look at individual competitors to disaggregate where the -how the best-in-class performs in data. I'll tell you we are best-in-class in terms of margins. On the trading side, we're second in class, if you will, and so we do look at

why it drives us crazy, right? Why are we second in trading and some of that is the choice that we've made to be a bit more complex in terms of our market.

We don't operate a single clearing house. We operate six clearing houses. We operate 12 different exchanges. They're all on the same technology platforms, but they're all distinct entities, which are quite different. So we do look at what are the differences in how we operate our business versus how others operate their business. We've kind of been in a bit of a learning mode the last year or two as we have gotten deeper into the data business looking at how those businesses operate. It's more of a sales function than historically we've had at ICE.

And so I've had to kind of revert back to my IBM days to think about things like sales plans and quotas and sales incentives and that wasn't anything for the first eight years in this job that I and by the way I didn't miss it, that I had to spend any time on and so we are having to look again at how do you motivate a sales team and what are the expenses associated with that. And as you know, in a good quarter, they can be bumping, right? So we're used to a good quarter where revenue drops all to the bottom line because expenses don't really change. If you have a great sales quarter, your expenses may change a little bit because the sales guys are out doing a good job and it should be, but again it's something that we have to shift and understand. So we definitely look, not at just at the aggregate, but also with the disaggregated competitors and look for kind of best-in-class to understand where additional efficiencies may exist for us.

Q

Okay. Can you just expand on the BondPoint acquisition and the plans in electronic bond trading? It seems like many of the markets you're in, there's a winner take all. The benefits you've had in the past, it's the same structure, so I don't know if you plan to kind of get a foothold in one area and build on that or be very aggressive to gain the liquidity and the scale and the network that you have in other parts of your business.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

The red button.

Q

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

It's a great question and I think, again, if you look at our history, it's not going to surprise you what my answer is. So we today have a nascent bond platform that's completely dealer-to-dealer, and I'll tell you it's an option platform. We've now dropped the CEP product I talked about into the middle of it to try and facilitate that trading, but it's a relatively closed network of only the dealer.

A

BondPoint is a very good technology. I'll get the numbers right, but I'll order magnitude. If we've got 30 people on our dealer platforms, we've got 700 customers that are on the BondPoint platform and those are retail institutions, those are wealth managers, those customers that aren't over here in our dealer platform. And so we think there's an opportunity to over time put those customer sets together trading similar instruments in different ways but similar instruments. We think there is a way to bring those customers together to make the market better for all of them.

And again, if you go back, you have just started the company but by giving away 90% of this company to the people who control the primary liquidity in the energy markets that he wanted to trade, in return they gave him the volume and liquidity brings liquidity. And so if we've got a solid dealer platform and we now have a really strong

platform with wealth managers and retail investors. Given our technology prowess and ultimately at some point maybe our clearing backend capabilities, we think we can put something together. And on your winner takes all, the thing that informed our decision is that you still only have about 20% of the bond market that trades electronically, and that's largely through RFQ.

And RFQ, certainly, not the dominant way that most markets trade and most markets aren't only 20% electronic, and so we think it's early days and that there's an opportunity for the market to evolve how it trades fixed income, and we believe that we can be a participant in that. But because, again, we've got a history of bringing innovative products and technologies and then working collaboratively with the market to build a trading vehicle that they're interested in leveraging. So it's early days and that's a long-term strategy, but I definitely see a lot of Greenfield for us to work towards.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Great. Thank you so much, Scott. We are out of time. Thank you very much for everyone for participating.

Scott Anthony Hill

Chief Financial Officer, Intercontinental Exchange, Inc.

Thanks, buddy.

Kenneth B. Worthington

Analyst, JPMorgan Securities LLC

Yeah.

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